

Qualification Programme
Module 3 – Business Economics
Report on Candidates' Performance
(December 2024 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

This paper consisted of 45 multiple-choice questions. Candidates had one hour and forty-five minutes to complete the paper. The questions of this paper related broadly to the following Principal Learning Outcomes:

- (a) Explain the features of economic environment and define economic concepts;
- (b) Apply the fundamental principles of microeconomic theory;
- (c) Apply the fundamental principles of macroeconomic theory;
- (d) Explain the key concepts of statistical analysis; and
- (e) Apply techniques of statistical analysis.

The multiple-choice questions in this paper were divided into two broad categories, which were worth 1 to 2 marks each:

- Knowledge-based questions; and
- Application-based questions.

General Comments

The average marks (in percentage) scored by candidates for questions of the topic areas are as follows:

(a) Explain the features of economic environment and define economic concepts	63.5%
(b) Apply the fundamental principles of microeconomic theory	77.9%
(c) Apply the fundamental principles of macroeconomic theory	62.0%
(d) Explain the key concepts of statistical analysis	58.2%
(e) Apply techniques of statistical analysis	69.4%

The average marks (in percentage) scored by candidates for the two broad categories of questions are as follows:

• Knowledge-based questions	62.1%
• Application-based questions	72.0%

In general, the candidates' performance in this session was satisfactory. They exhibited competence in applying the fundamental principles of microeconomic theory, and applying techniques of statistical analysis. However, their proficiency in explaining the features of economic environment and defining economic concepts, applying the fundamental principles of macroeconomic theory, and explaining the key concepts of statistical analysis was weaker.

Specific Comments

In this session, candidates demonstrated weakest performance in questions of topics below:

- Explain what economics is and define the economic concepts of:
 - Scarcity
 - Choice
 - Opportunity cost
 - Marginal analysis
- Illustrate:
 - Market and economic efficiency
 - Market failure
 - Public policies
- Describe the limitation and use of index numbers
- Explain what statistics is about and define the following statistical terms:
 - Descriptive statistics
 - Inferential statistics
 - Random variables
 - Samples vs. population
 - Statistics vs. parameters
 - Sampling
 - Cross-section vs. time series data
- Calculate and apply the following measures of dispersion:
 - Range
 - Quartile deviation
 - Interquartile range
 - Standard deviation
 - Variance
 - Co-efficient of variation

Specifically, candidates encountered difficulties with specialised topic in the area of describing the use of index numbers. It appears that candidates may not have sufficiently covered the whole syllabus in depth.

Given the observations above, candidates are strongly advised to start the preparation process for the examination early enough. Meanwhile, candidates should also be aware that knowledge-based questions, unlike application-based ones, intrinsically require a certain extent of familiarity with the meaning of the terms relevant to the concepts. In other words, memorizing the basic definition of an idea's terms is necessarily part of the preparation process.